

Accounting 1

Step 1: Ask → Was a revenue earned by delivering goods or services?

- If so, debit the account for what was received (+A, -L) and credit the revenue account (+R, +SE)

OR Was an expense incurred to generate a revenue in the current period?

- If so, debit the expense account (+E, -SE) and credit the account for what was given (-A, +L)

OR If neither a revenue was earned or an expense was incurred, what was received and given?

- debit the account for what was received (+A, -L)
- credit the account for what was given (-A, +L)

Step 2: Verify → Is the accounting equation in balance? ($A = L + SE$)

- Do debits = credits?

CHAPTER 4 (ADJUSTMENTS, FINANCIAL STATEMENTS, AND THE CLOSING PROCESS)

Managers are responsible for preparing financial statements that will be useful to investors, creditors, and others. Financial information is most useful for analyzing the past and predicting the future when it is considered by users to be of high quality. High-quality information is information that is relevant (that is, material and able to influence users' decisions) and a faithful representation of what is being reported (that is, complete, free from error, and unbiased in portraying economic reality).

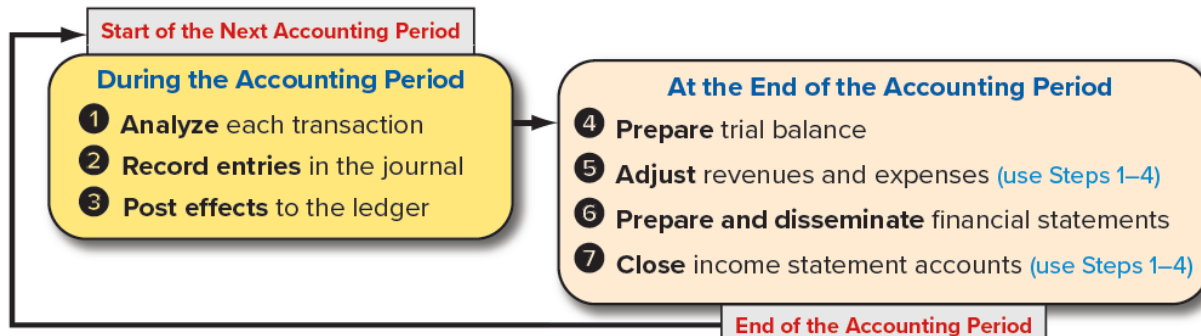
THE ACCOUNTING CYCLE

The accounting cycle is the process followed by entities to analyze and record transactions, adjust the records at the end of the period, prepare financial statements, and prepare the records for the next cycle.

During the accounting period, transactions that result in exchanges between the company and other external parties are analyzed and recorded in the general journal in chronological order (journal entries), and the related accounts are updated in the general ledger (T-accounts).

The end-of-period steps focus primarily on adjustments to record revenues and expenses in the proper period and to update the balance sheet accounts for reporting purposes.

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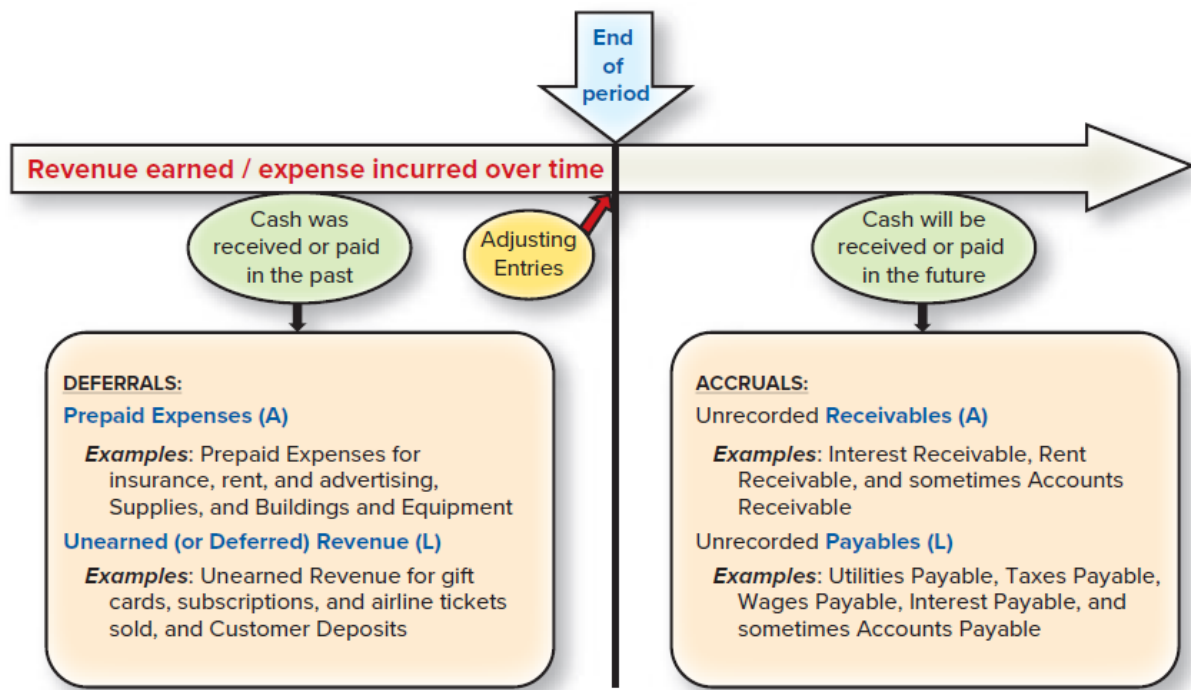


THE PURPOSE OF ADJUSTMENTS

How does the accounting system record revenues and expenses when one transaction is needed to record a cash receipt or payment and another transaction is needed to record revenue when it is earned or an expense when it is incurred? The solution to the problem created by such differences in timing is to record adjusting entries at the end of every accounting period so that

- **Revenues** are recorded when earned (the revenue recognition principle).
- **Expenses** are recorded when they are incurred to generate revenue (the expense recognition Principle).
- **Assets** are reported at amounts that represent the probable future benefits remaining at the end of the period.
- **Liabilities** are reported at amounts that represent the probable future sacrifices of assets or services owed at the end of the period.

Companies wait until the end of the accounting period to adjust their accounts because doing so daily or weekly would be very costly and time-consuming. Adjusting entries are required every time a company prepares financial statements for external users.



- Cash was received or paid in the past (creating deferred revenue and expense accounts until they are earned or incurred over time)
- Cash will be received or paid in the next period for revenues and expenses that were earned or incurred in the current period but have not been recorded (creating accrued revenues until cash is received and accrued expenses until cash is paid)

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Ask: Was revenue earned that is not yet recorded and . . .

1 Cash was received in the past? Deferral

Debit the account recorded when cash was received in the past
Credit the revenue account for what was earned*

Example:

	Debit	Credit
Unearned revenue (–L)	600	
Gift card revenue (+R, +SE)		600

OR

Was an expense incurred that has not yet been recorded and . . .

3 Cash was paid in the past? Deferral

Debit the expense account for what was incurred*
Credit the account recorded when cash was paid in the past

Example:

	Debit	Credit
Rent expense (+E, –SE)	100	
Prepaid rent expense (–A)		100

2 Cash will be received in the future? Accrual

Debit the account for what is owed to the company
Credit the revenue account for what was earned*

Example:

	Debit	Credit
Interest receivable (+A)	60	
Interest revenue (+R, +SE)		60

4 Cash will be paid in the future? Accrual

Debit the expense account for what was incurred*
Credit the account for what the company owes

Example:

	Debit	Credit
Wages expense (+E, –SE)	1,000	
Wages payable (+L)		1,000

Verify: Does the accounting equation remain in balance and do debits equal credits?

NOTE: Cash is never included in an adjusting entry because either it was recorded in the past or it will be recorded in the future.

*Sometimes the amount is given, sometimes it must be calculated, and sometimes it must be estimated.

DEFERRED (UNEARNED) REVENUES

When a customer pays for goods or services before the company delivers them, the company records the amount of cash received in a **deferred (unearned) revenue** account.

This unearned revenue is a liability representing the company's promise to perform or deliver the goods or services in the future.

Recognition of (recording) the revenue is postponed (deferred) until the company meets its obligation.

ACCRUED REVENUES

Sometimes companies perform services or provide goods (i.e., earn revenue) before customers pay.

Because cash is owed, the revenue that was earned may not have been recorded.

Revenues that have been earned but have not yet been recorded at the end of the accounting period are called **accrued revenues**.

DEFERRED EXPENSES

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Assets represent resources with probable future benefits to the company.

Many assets are used over time to generate revenues, including supplies, prepaid expenses for insurance, advertising, and rent, and buildings and equipment.

These assets are **deferred expenses** (that is, recording the expenses for using these assets is deferred to the future).

At the end of every period, an adjustment must be made to record the amount of the asset that was used during the period.

DEPRECIATION

Buildings and Equipment accounts are listed at cost. The accounts increase by the cost of the assets when they are acquired and decrease by the cost of the assets when they are sold or disposed of. However, these assets also are used over time to generate revenue. A part of their cost should be recorded as an expense in the same period (following the expense recognition principle). Accountants say that buildings and equipment, but not land, depreciate over time as they are used.

In accounting, **depreciation** is an allocation of the cost of buildings and equipment over their estimated useful lives to the organization.

To keep track of the asset's historical cost, the amount that has been used is not subtracted directly from the asset account. Instead, it is accumulated in a new kind of account called a **contra-account**. Contra-accounts are accounts that are directly linked to another account or financial statement section, but with an opposite balance. For buildings and equipment, the contra-account for the total cost used to date is called **accumulated depreciation**. Accumulated depreciation increases with the amount of depreciation expense for the period and decreases when an asset is sold for the portion used in prior periods. We will designate contra-accounts with an x in front of the type of account to which it is related. For example, this contra-account will be shown as accumulated depreciation (xa).

Because assets have debit balances, **Accumulated Depreciation has a credit balance**. On the balance sheet, the amount that is reported for property and equipment is its **net book value** (also called the book value or carrying value), which equals the ending balance in the property and equipment accounts (total cost of property and equipment) minus the ending balance in the Accumulated Depreciation account (used cost of buildings and equipment).

COST		USED COST		= UNUSED COST
+ Property and Equipment (A) –		– Accumulated Depreciation (XA) +		= NET BOOK VALUE
Beg. Bal.			Beg. Bal.	 Amount reported on the balance sheet
Asset purchases (at cost)	Asset disposals (at cost)	Asset disposals (for assets' used cost)	Depreciation expense (used in current period)	
End. Bal.			End. Bal.	



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Contra-accounts are accounts that are directly linked to another account or financial statement section, but with an opposite balance.

Treasury Stock is also a contra-account and reduces stockholders' equity.

We will designate contra-accounts with an X in front of the type of account to which it is related.

- Accumulated Depreciation account will be shown as **(XA)**.
- Treasury Stock account will be shown **(XSE)**.

ACCRUED EXPENSES

Numerous expenses are incurred in the current period without being paid until the next period.

Common examples include:

- Wages Expense for the wages owed to employees who worked during the period
- Interest Expense incurred on debt owed during the period
- Utilities Expense for the water, gas, and electricity used

during the period

These **accrued expenses** accumulate (accrue) over time but are not recognized as expenses until the end of the period in an adjusting entry.

SUMMARY

You may have noticed that the **Cash account was never adjusted**. The cash has already been received or paid by the end of the period, or it will be received or paid in the next period.

- Adjustments are required to record revenues and expenses in the proper period because the cash part of the transaction is at a different point in time.
- In addition, each adjusting entry always included at least one income statement account and at least one balance sheet account.

Adjustments are necessary at the end of the accounting cycle to record all revenues and expenses in the proper period and to reflect the proper valuation for assets and liabilities.

- **Deferred revenues** (liabilities) have balances at the end of the period because cash was received before it was earned. If all or part of the liability has been satisfied by the end of the period, revenue needs to be recorded and the liability reduced.

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- **Accrued revenue** adjustments are necessary when the company has earned revenue but the cash will be received in the next period. Because nothing has been recorded yet, revenue needs to be recognized and an asset (a receivable) increased.
- **Deferred expenses** (assets) have balances at the end of the period because cash was paid in the past by the company for the assets. If all or part of the asset has been used to generate revenues in the period, an expense needs to be recorded and the asset reduced.
- **Accrued expense** adjustments are necessary when the company has incurred an expense but the cash will be paid in the next period. Because nothing has been recorded yet, an expense needs to be recognized and a liability (a payable) increased.

ADJUSTMENTS AND INCENTIVES

If the financial performance and condition of the company appear strong, the company's stock price rises.

- Shareholders often receive dividends and increase their investment value.
- Managers may receive bonuses and options to buy their company's stock at prices below market value.

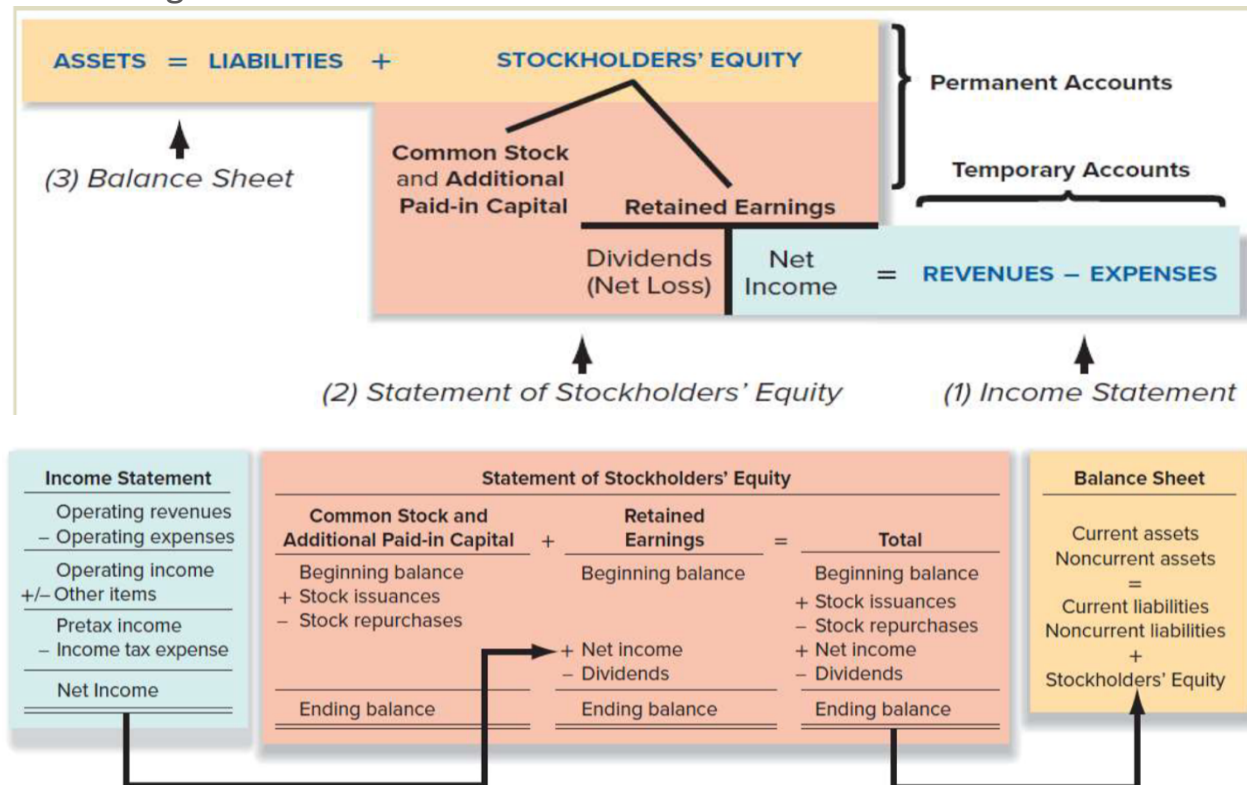
When actual performance lags behind expectations, managers and owners may manipulate accruals and deferrals to make up the difference. They might:

- record cash received as revenue before it is earned or
- fail to accrue expenses at year-end.

Evidence from studies of large samples of companies indicates that some managers do engage in such fraudulent behavior. This research is borne out by enforcement actions, against companies and sometimes against their auditors, by the U.S. Securities and Exchange Commission (SEC), the independent, federal agency responsible for overseeing the fair functioning of the securities markets and for protecting investors. From 2015 through 2020, the SEC brought an annual average of over 800 enforcement actions against corporations and executives for reasons including financial reporting and disclosure issues. In 2020 alone, the SEC obtained over \$4.5 billion in monetary remedies for ill-gotten gains and penalties.*

News of an SEC investigation into these allegations can negatively affect the company's stock price.

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This is another way of presenting the relationships among the statements.

Notice that:

(1) The first statement to prepare is the **Income Statement** which reports that revenues minus expenses yields net income.

(2) **Net income** is a component in determining total stockholders' equity. Net income (or net loss) and **dividends** declared to stockholders affect Retained Earnings and any additional **issuances or repurchases of stock** during the period affect the balances in Common Stock and Additional Paid-in Capital, all of which appear on the Statement of Stockholders' Equity.

(3) **Stockholders' Equity** is a component of the Balance Sheet.

Thus, if a number on the income statement changes or is in error, it will impact the other statements.

The income statement is prepared first because net income is a component of Retained Earnings.

This is the income statement drawn from the adjusted trial balance. Refer back to the adjusted trial balance and trace the income statement numbers forward.



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Earnings per Share

EPS is the only ratio required to be disclosed on the statement or in the notes to the statements.

It is widely used in evaluating the operating performance and profitability of a company. It is the only ratio required to be disclosed on the statement or in the notes to the statements.

$$\text{Earnings per Share} = \frac{\text{Net Income}}{\text{Weighted average number of shares of common stock outstanding}}$$

Statement of Stockholders' Equity

The final total from the income statement, net income, is carried forward to the Retained Earnings column of the **statement of stockholders' equity**. To this, the additional elements of the statement are added. Dividends declared and an additional stock issuance are also included in the statement.

Balance Sheet

The ending balances for **Common Stock, Additional Paid-in Capital, Treasury Stock, and Retained Earnings** from the statement of stockholders' equity are included on the balance sheet that follows. You will notice that the contra-asset account Accumulated Depreciation (used cost) has been subtracted from the total of the land, buildings, and equipment accounts (at cost) to reflect net book value (or carrying value) at period-end for balance sheet purposes. Also recall that assets are listed in order of liquidity and liabilities are listed in order of due dates. Current assets are those used or turned into cash within one year (as well as inventory). Current liabilities are obligations to be paid with current assets within one year. We present a comparative balance sheet that shows the amounts at two points in time: December 31, 2019 and March 31, 2020.

THE SEC USES BIG DATA

The **U.S. Securities and Exchange Commission** formed the **Financial Reporting and Audit (FRAud)** Group under the **Division of Enforcement**, which concentrates on detecting fraud and prosecuting corporations and individuals for violations involving false or misleading financial statements and disclosures. The SEC uses data analytics to build a more proactive enforcement program. The FRAud Group relies on statistical modeling and other data tools, for example, to analyze narratives in financial statements submitted to the SEC by public corporations to identify subtle differences in the tone and language that provide quantifiable measures of risk (and potential fraud). Also, the **Division's Earnings Per Share Initiative** uses risk-based data

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analytics to uncover potential accounting and disclosure violations often caused by earnings management practices to hide weak performances that were not expected.

CLOSING THE BOOKS

All adjusting entries are recorded and posted to update the accounts and then the financial statements are prepared and disseminated to users. A closing process is needed as the last step in the accounting cycle to mark the end of the current period and the beginning of the next.

- **Balance sheet accounts** (assets, liabilities, and stockholders' equity) are considered permanent accounts, indicating that they retain their balances from the end of one period to the beginning of the next.
- **Income statement accounts** (revenues, expenses, gains, and losses accounts) are temporary accounts because their balances accumulate during a period to determine financial performance for the period. However, the accounts must start with a zero balance at the beginning of the next period to determine next period's financial performance.

Another issue is that the Retained Earnings account balance is not correct until the closing process is complete. Retained Earnings increases with the period's net income and decreases with dividends declared (and net losses) for the period. The Retained Earnings T-account does not yet include the effects of net income. The closing process is needed to move net income (a subtotal) to Retained Earnings.

The final step in the accounting cycle, closing the books, is done by recording a closing journal entry and posting the effects to the appropriate accounts. A closing entry has two purposes:

1. To **transfer the balances in the temporary accounts** (income statement accounts) **to Retained Earnings**.
2. To **establish a zero balance in each of the temporary accounts** to start the accumulation in the next accounting period.

The **closing entry** is dated the last day of the accounting period, entered in the usual debits-equal-credits format (in the journal), and immediately posted to the ledger (or T-accounts).

The income statement (temporary) accounts with debit balances are credited and the income statement (temporary) accounts with credit balances are debited.

The net amount, equal to net income, affects Retained Earnings.

POST-CLOSING TRIAL BALANCE

As an additional step of the accounting information processing cycle, a **post-closing trial balance** should be prepared as a check that debits still equal credits and that all temporary



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accounts have been closed. The income statement accounts should be \$0. The accounting cycle for the period is now complete.

CHAPTER 6 (REPORTING AND INTERPRETING SALES REVENUE, RECEIVABLES, AND CASH)

ACCOUNTING FOR NET SALES REVENUE

The **revenue recognition principle** requires that revenues be recorded when the company transfers goods and services to customers, in the amount it expects to be entitled to receive.

For sellers of goods, **sales revenue** is recorded when title and risks of ownership transfer to the buyer.

The point at which title (ownership) changes hands is determined by the **shipping terms** in the sales contract:

- **FOB (free on board) shipping point:** title changes hands at shipment and the buyer normally pays for shipping.
- **FOB destination:** title changes hands on delivery and the seller normally pays for shipping.

Skechers ships its goods to retailers, such as Macy's and Dick's, FOB shipping point.

Revenues from goods shipped FOB shipping point are normally recognized at shipment.

Revenues from goods shipped FOB destination are normally recognized at delivery. Service companies most often record sales revenue when they have provided services to the buyer.

Companies disclose the revenue recognition rule they follow in the footnote to the financial statements entitled Summary of Significant Accounting Policies.

MOTIVATING SALES AND COLLECTIONS

Some sales practices differ depending on whether sales are made to businesses or consumers.

Companies use a variety of methods to motivate both groups of customers to buy their products and make payment for their purchases.

The principal methods include:

- (1) allowing consumers to use **credit cards** to pay for purchases,
- (2) providing business customers **direct credit and discounts for early payment**, and
- (3) allowing **returns** from all customers under certain circumstances.

These methods, in turn, affect the way we compute net sales revenue.